

The Huntsman Family Has Also Personally Interceded to Save Dr. Beckerle's Job at HCI

In 2017, Dr. Beckerle was briefly terminated from her position as CEO of HCI, but was reinstated by the University of Utah following significant pressure from the Huntsman family, including threats of pulling \$250 million of funding from HCI.

News Article Detailing Threat of Pulled Donation⁽¹⁾

SALT LAKE CITY — Had the University of Utah not reinstated the CEO of the Huntsman Cancer Institute, Jon Huntsman Sr. confirmed Wednesday that it would have lost a quarter-of-a-billion-dollar donation from his family's foundation.

Huntsman told the Deseret News that the deal — designed to give payments to the facility over eight years, totaling \$250 million — "was pretty well settled" before Huntsman Institute Director and CEO Mary Beckerle was fired on April 17. But the decision to let her go changed everything, he said.

Asked whether the money would have been withheld had Beckerle not been reinstated, Huntsman responded, "Of course it would have been."

"Nobody's going to tolerate people being fired at any institution or any charity ... for no cause, no reason, no explanation — just fired — (when that person is) doing an excellent job and they're world-renowned and we respect them," Huntsman said.

"Of course we would never donate to that charity again, nor would anybody else. People don't give money to be surprised in that manner."

The Utah business and philanthropy giant said he no longer anticipates any problems in completing the \$250 million donation.

Email Obtained by the Salt Lake Tribune

On 4/22/17, 5:04 PM, "Peter R Huntsman" <peter@huntsman.com> wrote:

>
>President,
>
>We have entered the battle I hoped we could have averted.
>
>Regardless of what you may think, I really do hope we can have an amicable
>resolution. I have no desire to see you leave and hope we can re-engage
>and
>build the institute we both want. I consider you a good and trusted friend
>who never wanted such a dispute.
>
>Please do not feel you need to respond, as I know these are sensitive
>times.
>
>I hope we can have a fireside chat someday.
>
>Peter
>
>> On Apr 18, 2017, at 8:42 AM, David W. Pershing <David.Pershing@utah.edu>
>>>

The Huntsman family would have withheld a \$250 million donation had Dr. Beckerle not been reinstated

Peter Huntsman personally petitioned David Pershing, the then-President of the University of Utah, after Dr. Beckerle was fired

We believe Dr. Beckerle owes her current position at HCI to the Huntsman family.

We Believe the Huntsman Family Wields Significant Ongoing Influence Over HCI and Dr. Beckerle

Following Dr. Beckerle's reinstatement, the HCF and the University of Utah entered into an agreement to establish guidelines for governing HCI. As part of this agreement, an oversight committee was established to review HCI's performance and resolve disputes between the University of Utah and the HCF.

Memorandum of Understanding: HCF and the University of Utah

The new memorandum addresses finances and the reporting structure and authority of HCI's CEO and director, as well as creates a joint oversight committee.

The CEO and director, a position currently held by Mary Beckerle, will continue to report to the president of the U as was announced at the time of Beckerle's reinstatement. She will also be able to make cancer-related faculty appointments in partnership with departmental chairs and relevant hospital leadership.

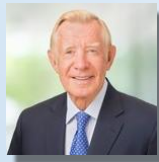
The joint oversight committee will review the performance of HCI, resolve disputes between the U and Huntsman Cancer Foundation and approve leadership changes. The committee will have five members — the president of the university, the CEO of Huntsman Cancer Foundation, one person appointed each by the U and the foundation, and a "prominent cancer specialist, who is not directly associated with either of the parties or HCI." That unaffiliated expert must be chosen jointly by the president of the U and the CEO of Huntsman Cancer Foundation.

We believe the Huntsman family exerts significant ongoing influence over HCI and Dr. Beckerle through agreements with the University of Utah, funding commitments, and an oversight committee.

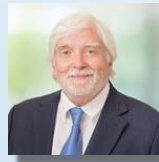
Despite Obvious Conflicts, the Board Has Shockingly and Repeatedly Classified Dr. Beckerle as Independent

Dr. Beckerle has clear and substantial outside financial ties to the Huntsman family. Alarming, Dr. Beckerle's fellow Board members have repeatedly classified her as an independent director.

Pre-Starboard Non-Management Directors: Approve Dr. Beckerle as Independent?



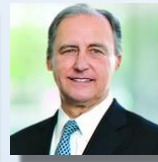
Mr. Archibald



Mr. Reaud



Sir Margetts



Mr. Burns



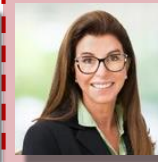
Mr. Ferrari



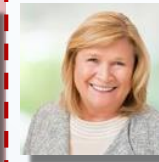
Ms. Tighe



Ms. Dulá



Ms. Egan



Ms. McGovern

2018 Annual Meeting



2019 Annual Meeting



2020 Annual Meeting



2021 Annual Meeting



2022 Annual Meeting



Nominees Starboard Is Seeking to Replace at the Company's 2022 Annual Meeting

We question how the Board repeatedly determined Dr. Beckerle's independence despite glaring conflicts.

We Believe Dr. Beckerle Is Not Independent And Question the Board's Repeated Poor Judgement

We believe Dr. Beckerle is not independent given her substantial relationships with the Huntsman family. In determining otherwise, we believe the Board ignored numerous key facts and exercised poor judgement.

Facts Considered by the Board

Peter Huntsman does not have any ownership interest in the Huntsman Cancer Institute

Huntsman Corporation matches charitable contributions made by its employees to the Huntsman Cancer Foundation

Peter Huntsman is the Chairman and CEO of Huntsman Cancer Foundation

Huntsman Cancer Foundation contributes \$100,000 to Dr. Beckerle for serving as the CEO of the Institute

Dr. Beckerle's annual compensation from the University of Utah is set by her supervisor, currently the University President, with no input from the Huntsman Cancer Foundation

Facts Ignored by the Board

The Huntsman family has donated almost \$750 million to HCI

The Huntsman family's contributions account for almost half of the cumulative total donations received by HCI

Other directors and executive officers have donated substantial amounts to HCI

The Huntsman family threatened to withhold \$250 million in donations after Dr. Beckerle was fired as CEO of HCI, which ultimately led to her reinstatement as CEO

The Huntsman family has significant influence over the governance and finances of HCI

Dr. Beckerle receives ~\$1 million in annual compensation from HCI⁽¹⁾

We believe the Board conducted an incomplete analysis of Dr. Beckerle's independence and a consideration of all the facts suggests Dr. Beckerle is clearly not independent

We believe Dr. Beckerle is clearly not independent and question how the Board repeatedly decided otherwise.